CLASS 9 — SOCIAL SCIENCE · MEDIUM LEVEL CHAPTER TEST SET 3

Chapter 1: **The Problem of Choice (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Medium level: multi-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Which statement about wants is correct? 1

(a) They are unlimited and shape demand **(b)** They are limited

(c) They never change **(d)** They are always essential

2. Which pair is correctly matched? 1

(a) Market economy - North Korea **(b)** Mixed economy - Former Soviet Union

(c) Planned economy - USA **(d)** Planned economy - Cuba

3. A government chooses to give fewer licences and more freedom to private firms. This is a move towards 1

(a) stricter planning **(b)** barter

(c) traditional economy **(d)** market orientation

4. A student spends Rs 100 on a book instead of a game. The opportunity cost is 1

(a) nothing **(b)** the book

(c) the game she gave up **(d)** Rs 100

5. Which of these is a public good? 1

(a) A restaurant meal **(b)** A private gym

(c) Street lighting in a city **(d)** Mobile data

6. A firm opts for hand-woven designer sarees. This is mainly 1

(a) public **(b)** labour-intensive

(c) planned **(d)** capital-intensive

7. Moving along a PPC from more wheat to more barley, the wheat given up shows 1

(a) total demand **(b)** profit from wheat

(c) price of barley **(d)** opportunity cost of barley

8. The market clears more fairly when the government 1

(a) stops trade **(b)** makes rules and provides public goods

(c) owns all firms **(d)** does nothing

9. Why do even market economies like the USA have government involvement? 1

(a) Pure systems rarely exist and public goods are needed

(b) Markets cannot exist

(c) Citizens do not want markets

(d) They are planned

10. Which statement correctly shows scarcity? 1

(a) A school has funds for either a lab or a playground, not both

(b) Water is free everywhere

(c) A shop has unlimited stock

(d) Everyone has everything

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. How did licences affect Indian industry before 1991? 2

12. Why are wants called unlimited but resources limited? 2

13. How does the nature of product influence method of production? 2

14. Why is a decision to produce sugarcane an economic choice? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. How do the data from surveys help firms? 3

16. A school has Rs 2 lakh for a lab or a library. Discuss the choice. 3

17. Explain how cost of capital changes the way garments are made. 3

OR

How is the market for bread different from that of roads in terms of who can use the good? 3

18. A family has Rs 5,000 spare. Explain the economic choices it faces. 3

OR

Why is a mixed economy better than a purely planned one in India's case? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Analyse how choice of technique depends on cost, technology and product. 5

OR

Discuss why almost every economy is a mixed economy. 5

20. Explain why wants are unlimited while needs are limited. Discuss its effect on economic systems. 5

OR

Compare the economic choices of a household and a government. 5

END OF QUESTION PAPER — Total: 40 Marks

MASTERMIND